

European Stocks Decline as Investors Mull Inflation, Growth Risk



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European stocks declined after briefly bouncing on cooling US inflation, with investors also assessing a slew of corporate earnings as well as the possibility of a US recession.

The Stoxx 600 Index was down 0.4% by the close. The technology, energy and real estate subindexes outperformed, while personal-care stocks trailed.

Figures earlier showed US inflation moderated in April, giving the Federal Reserve room to pause interest-rate increases soon. However, market participants warned stocks could remain volatile amid a glum economic outlook. Bloomberg News [reported](#) that an investment firm controlled by a top Abu Dhabi royal has built a short position worth billions of dollars in US stocks in a bet that growing fears over a recession will pressure markets.

While there's "definitely some relief" that inflation figures were not hotter than expected, "big picture, the outcome isn't rosy," said John Leiper, chief investment officer at Titan Asset Management. "The short bullish reaction was predicated on short-term relief. Now that's out the way, the fundamentals are still not great."



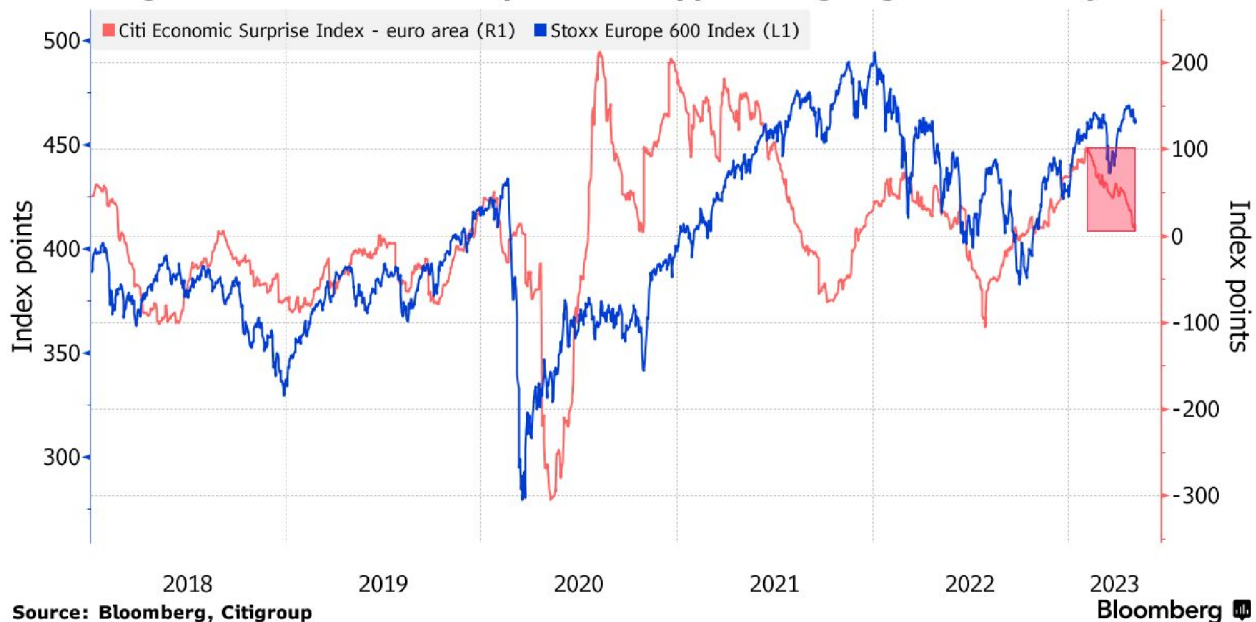
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The benchmark index has struggled to extend a rally from last month amid concerns about persistent inflation and the possibility of a US recession. Traders are also on guard for risks from the standoff in US debt talks. Meanwhile, European Central Bank officials are starting to accept that interest-rate increases might need to continue in September to bring inflation fully under control, Bloomberg News [reported](#).

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Max Kettner, chief multi-asset strategist at HSBC, said markets are “torn between competing forces” of upbeat earnings and economic data on one hand and concerns around US regional banking turmoil on the other.

“As a result, equity markets are lacking direction currently, as also sentiment and positioning among investors is still quite cautious,” he said.

Barclays Plc strategists also said they now see “little fundamental upside” in stocks following the rally that was led by defensive sectors.

According to Fabiana Fedeli, chief investment officer for equities, multi-asset and sustainability at M&G Plc, markets are pricing in a mild recession, “but the truth is it’s very difficult to understand what kind of recession we’re going to have and what the timing is going to be.”

“If we were to get a deep recession, then that would not be a good environment for equities,” Fedeli said on Bloomberg TV.

Among individual stocks, Vestas Wind Systems A/S rose as it showed a surprise profit ☐☐ for the first quarter, an indication of a turnaround for the wind turbine maker after a few tough years. ABN Amro Bank NV dropped even as the Dutch bank reported higher-than-expected first-quarter profit.

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– *With assistance from Michael Msika*

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